

24SMCV01219 24SMCV01219

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Case Number: 24SMCV01219 Hearing Date: July 30, 2026 Dept: P

Tentative

Ruling

Catalyst

Loanout, Inc. v. Cubcoats Acquisition Vehicle, LLC, et al., Case No.
24SMCV01219

Frankie

Ordoubadi's Demurrer

Hearing

Date: July 30, 2026

Background

In 2023,

Plaintiff Catalyst Loanout ("Catalyst") sued Defendants Cubcoats Acquisition Vehicle, LLC, and Frankie Ordoubadi ("Ordoubadi") for the principal and interest on a loan Plaintiff made Defendants to acquire the Cubcoats brand.

(Complaint, p. 3.) Plaintiff amended the complaint soon thereafter, adding causes of action for breach of contract, conversion, and fraud. (First Amended Complaint ["FAC"], ¶¶ 21-22.)

Catalyst

filed this action on March 14, 2024, and filed the operative complaint, the First Amended Complaint, on June 5, 2024.

Catalyst

entered default against Cubcoats on September 17, 2024.

On August

1, 2025, Cubcoats filed a notice of stay pending bankruptcy proceedings.

By January

20, 2026, the bankruptcy case resolved.

On

February 19, 2026, Defendants filed a declaration of demurring party in support of automatic extension.

On April 10,

2026, the Court denied Defendants' motion to set aside default.

On March

19, 2026, Frankie Ordoubadi filed this demurrer to the FAC. As of July 24, 2026, Catalyst has not filed opposition. In their meet and confer correspondence, Catalyst indicated that it intended to dismiss Frankie Ordoubadi from its contract claims.

Arguments

Ordoubadi

demurs to Catalysts first and second claims for breach of promissory note and breach of the power of sale and power of attorney agreement. Ordoubadi argues that he cannot be personally liable for any alleged breach because he signed both contracts on behalf of the Cubcoats Corporation. (Demurrer, p. 4.)

Governing

Law- Demurrer

In a demurrer proceeding, the defects in the complaint must be apparent on the face of the pleading or via proper judicial notice. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleading alone, and not the evidence or facts alleged." (*E-Fab, Inc. v. Accountants, Inc. Servs.* (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (*Ibid.*) The only issue a demurrer is concerned with is whether the complaint, as it stands,

states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Id.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) However, “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245).

Before filing a demurrer, parties must meet and confer in person or by phone. (Code Civ. Proc. § 430.41.)

Discussion

Procedure

a.

Meet

and Confer

The

parties met and conferred regarding this demurrer on March 13 and March 19, 2026. (Papaefthimiou Decl., ¶ 4.) As part of the meet and confer correspondence, Catalyst’s counsel agreed to dismiss the breach of contract claims against Frankie Ordoubadi. (Id. at Exhibit B.)

Breach

of Contract

“Directors

and officers are not personally liable on contracts signed by them for and on behalf of the corporation unless they purport to bind themselves individually.” (United States Liab. Ins. Co. v. Haidinger-Hayes, Inc. (1970) 1 Cal.3d 586, 595.)

Here,

Catalyst alleges that Ordoubadi signed the promissory note on behalf of

Defendant Cubcoats Acquisition Vehicle, LLC, as its managing member. (FAC, Exhibit 1, signature page.) Catalyst also alleges that Ordoubadi signed the Power of Sale and Power of Attorney Agreement as the managing member of Defendant Cubcoats Acquisition Vehicle, LLC. (FAC, Exhibit 3, p. 3.)

It is the plaintiff's burden to show in what manner and how it can amend the complaint. (Goodman v. Kennedy (1976) 18 C3d 335, 349; Moore v. Centrelake Med. Group, Inc. (2022) 83 CA5th 515, 537.) Since Catalyst does not oppose this motion or make any showing that it will be able to allege additional facts showing Ordoubadi's personal liability for Cubcoats' alleged breach of contract, leave to amend is not warranted.

Conclusion

Frankie

Ordoubadi's demurrer is SUSTAINED without leave to amend.